

Fengping River Hydropower — Main Analysis

Financial Feasibility Frontier under Hydrological Variability

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1 OVERVIEW

This program evaluates the financial feasibility of the proposed Fengping River hydropower project under historic flows and two climate change scenarios (SSP2-4.5 and SSP5-8.5).

Program contract

- **Inputs:** daily streamflow record (1958–2025), sediment rating-curve data, weir design specifications, climate projection parameters, finance parameters (FIT, CAPEX, LTV, loan rate, equity rate, project lifetime).
- **Outputs:** annual energy generation (GWh), annual revenue (NTD), 20-year NPV, and an NPV feasibility frontier across the loan-rate $\times$ LTV parameter grid, reported for each scenario (baseline, SSP2-4.5, SSP5-8.5).
- **Parameters:** e-flow mode, sediment toggle, number of bootstrap simulations, projection year, finance parameter ranges.

2 MODULES

Module	Purpose	Reuse
hydro_reservoir.R	Reservoir simulation: flow to energy	Used 3 times (baseline, SSP2-4.5, SSP5-8.5)
hydro_sediment.R	Sediment load to trap efficiency to storage loss	1 time
hydro_climate.R	Bootstrap climate scenarios from historic flow	Used 2 times (SSP2-4.5, SSP5-8.5)
hydro_finance.R	Energy to revenue to NPV to feasibility frontier	Used 3 times (one per scenario)
hydro_plot.R	Standardized plots for each output	many
hydro_test.R	Unit tests for all modules	1 time at setup

3 Input Validation & Testing

Before any analysis runs, `run_all_tests()` (sourced from `hydro_test.R`, called in the setup chunk) executes four blocks of automated checks — data integrity, physical plausibility, custom-function unit tests, and **input validation** (`test_input_validation()`). The input-validation block specifically targets three risks raised during project review:

1. **Daily flow format** — confirms the cleaned daily-flow file has the expected columns and types (`date` is `Date`, `Q_cms` is numeric), unique and chronologically ordered dates, and no negative/non-finite flow values, so that malformed input is caught immediately rather than silently propagating downstream.
2. **Sediment data completeness** — quantifies how much of the sediment record is below-detection or missing, and checks whether the sparse field-sampling record could be reconstructed into a continuous daily series.
3. **NPV scenario inputs** — confirms each finance scenario carries the required fields (including a positive CAPEX), that `build_cash_flows()` refuses a scenario with no CAPEX, and that `build_finance_outputs()` returns the expected NPV/IRR/payback structure.

Daily flow format check: PASS (24,564 rows, 1958-10-01 to 2025-12-31, all `Q_cms` finite & ≥ 0)

Sediment record: 1883 samples | 1379 below-detection (73.2%) | 0 missing values (0.0%)
 -> 100.0% of sampling dates fall inside the daily-flow record (1958-10-01 to 2025-12-31).

-> Sampling is far sparser than the daily flow record (1883 vs 24,564 days), so a continuous

NPV scenario input check:

-> CAPEX present and positive (NTD 2.50B): PASS

-> Scenario lacking CAPEX is correctly rejected: PASS

-> `build_finance_outputs()` returns correctly-formatted NPV/IRR/payback output: PASS

4 Sediment and Rating Curve

4.1 Suspended Sediment Rating Curve

The suspended sediment load (SSL, MT/day) is estimated from daily discharge Q (cms) via a power-law rating curve calibrated on 492 field observations (1959–2023):

$$SSL = a \cdot Q^b$$

fitted by ordinary least squares in log-log space. Only observations flagged ok with detectable sediment concentration are used; below-detection-limit records are excluded.

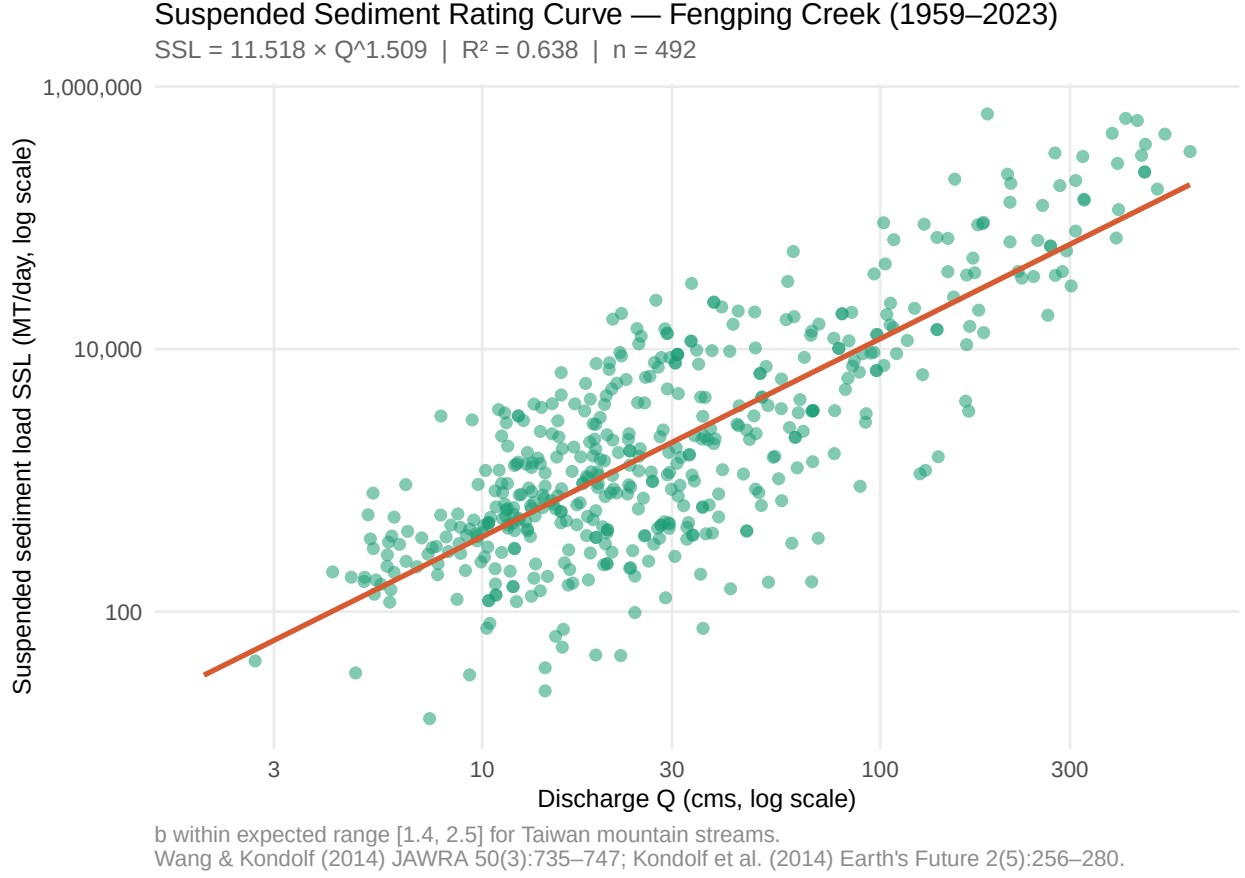


Figure 1: Suspended sediment rating curve for Fengping Creek. Each point is one field sampling event ($n = 492$, flag == 'ok'). The exponent $b = 1.51$ falls within the range [1.4, 2.5] documented for Taiwan mountain streams (Wang & Kondolf 2014; Kondolf et al. 2014).

4.2 Reservoir Sedimentation — W1 and W2

Trap efficiency TE is computed annually using the Brune (1953) curve:

$$TE_t = \frac{CI_t}{CI_t + 0.0021}, \quad CI_t = \frac{S_t}{V_{\text{annual}}}$$

where S_t is the remaining effective storage (m^3) and V_{annual} is the mean annual inflow volume.

Weir Sedimentation Over 35-Year Project Lifetime



Brune (1953) trap efficiency curve approximation.
Deposit bulk density = 1300 kg/m³ (Wang et al. 2018, Water 10(8):1034)

Figure 2: Simulated trap efficiency (TE) and remaining effective storage for W1 and W2 over the 35-year project lifetime. Brune (1953) curve approximation; deposit bulk density = 1300 kg/m³ (Wang et al. 2018).

Table 2: Trap efficiency and remaining effective storage at key project milestones (years 1, 10, 20, 35).

Weir	Year	S remaining (m ³)	TE	V loss (m ³ /yr)
W1 Lower	1	833,571	0.593	133,828
W1 Lower	10	92,256	0.162	36,670
W1 Lower	20	1,783	0.004	911
W1 Lower	35	4	0.000	2
W2 Upper	1	85,595	0.672	151,705
W2 Upper	10	0	0.000	0
W2 Upper	20	0	0.000	0
W2 Upper	35	0	0.000	0

5 Reservoir Simulation — Historical Baseline

The pondage simulation (`simulate_one_weir()`) uses a daily Euler forward water balance with a strict dispatch priority: (1) ecological flow, (2) power generation up to Q_{design} , (3) spillage.

The 24-hour forecast model (`simulate_one_weir_forward24()`) additionally looks ahead one day to decide how much water to retain, reducing spill during high-flow events while smoothing generation during droughts.

Both models are run on the full historical record (1958–2025) with the **recommended ecological flow** ($W1 = 5.0$ cms, $W2 = 1.0$ cms).

5.1 Operation Window — Interactive Date Selection

Change `START_DATE` and `END_DATE` to inspect any period of interest.

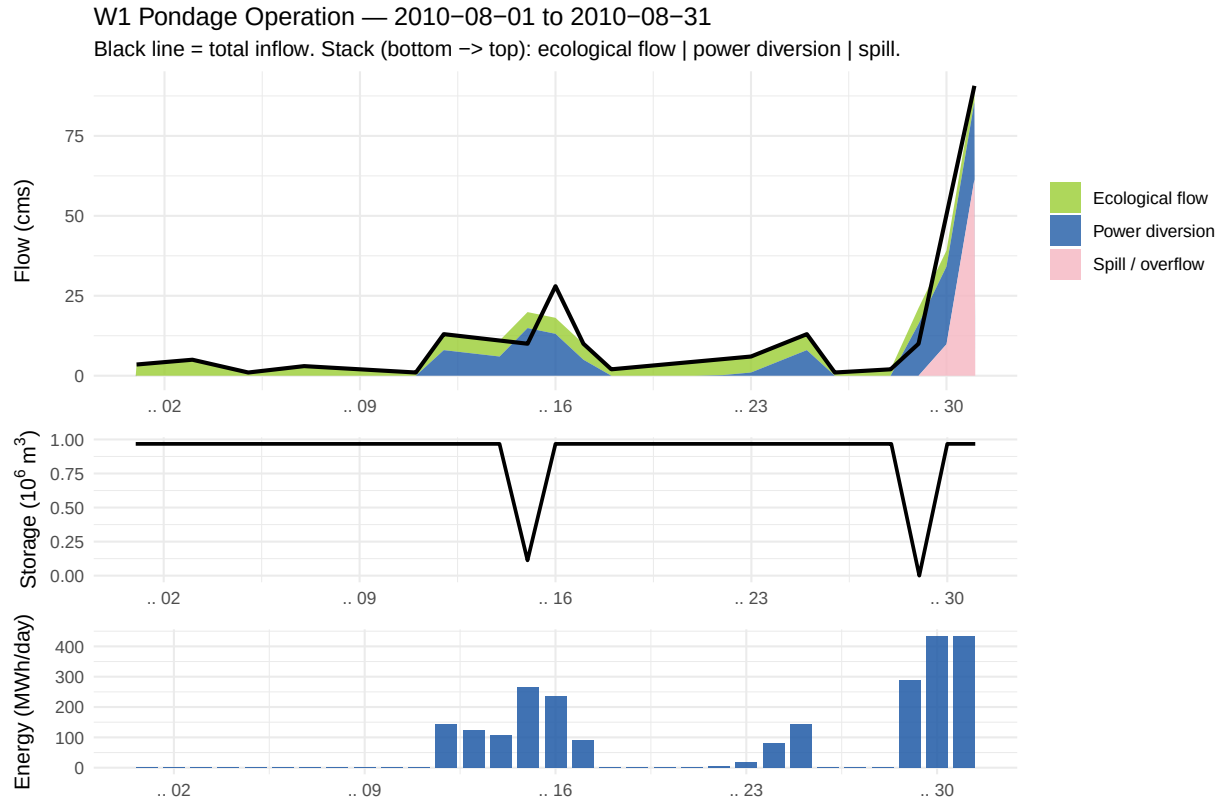


Figure 3: W1 reservoir operation during a representative typhoon-season window. Line = inflow; stacked areas = ecological flow, power diversion, and spill. Lower panels show storage trajectory and daily energy.

5.2 Annual Energy — Calendar Heatmap

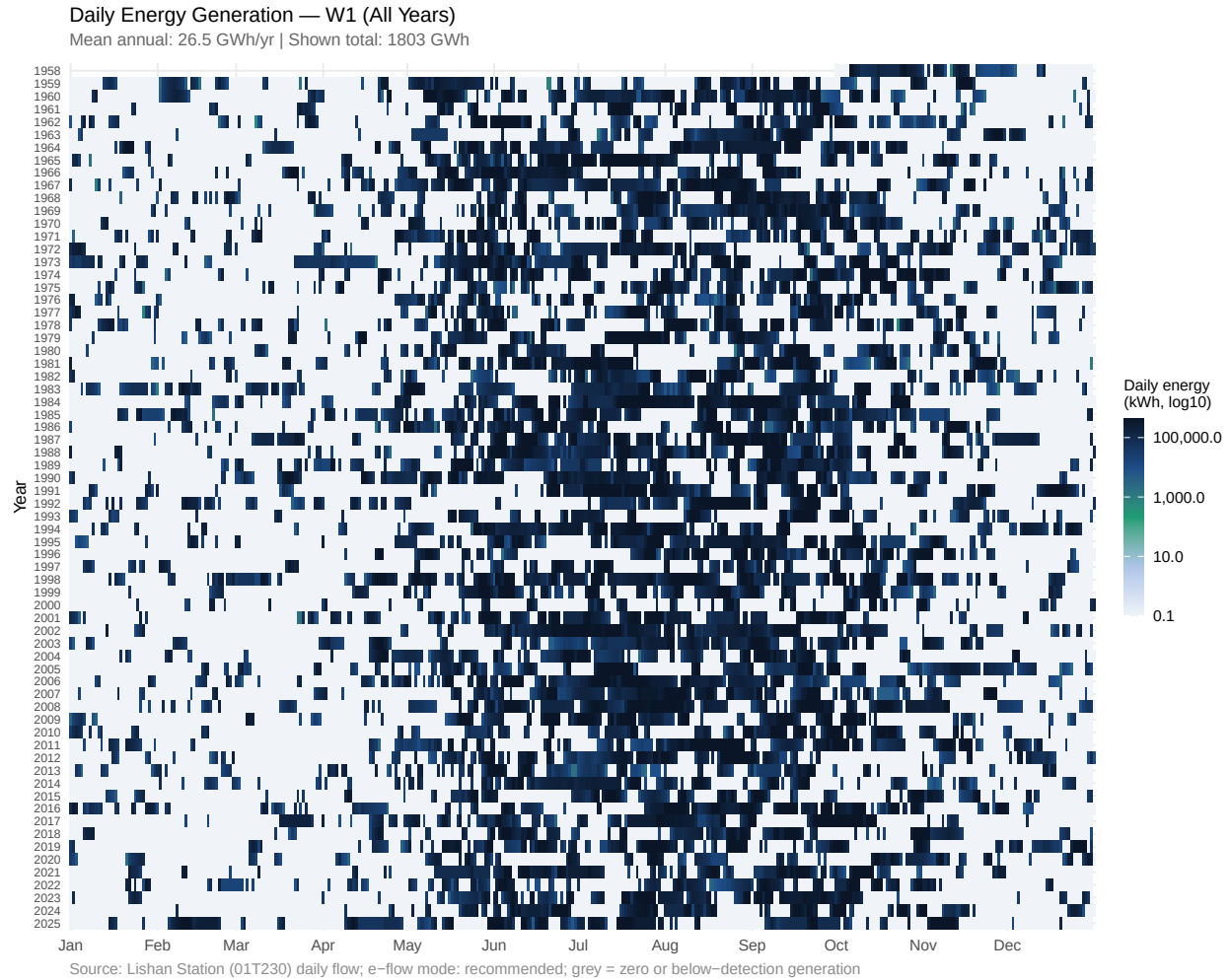


Figure 4: Calendar heatmap of daily energy generation for W1 (pondage mode, 1958–2025). Dark = high generation; grey = near-zero. Typhoon-season pulses visible as dark horizontal bands in July–September.

5.3 Annual Generation Summary — Run-of-River vs Pondage

Table 3: Annual generation statistics for W1 + W2 combined. Revenue computed at PPA rate (NTD 6.0/kWh). Run-of-river = immediate dispatch; Pondage = 24-hour forecast-informed. Historical record 1958–2025.

Mode	Mean			Mean Revenue (NTD B/yr)
	GWh/yr	P10 GWh/yr	P90 GWh/yr	
Run-of-river	45.2	29	58	0.271
Pondage (24-hr)	48.2	31	62	0.289

6 35-Year NPV Trajectory — Historical Baseline

NPV is computed using equity discount rate $r_e = 8\%$, LTV = 80%, and loan rate $r_\ell = 3\%$. Electricity revenue uses the PPA rate (NTD 6/kWh). All four publicly disclosed CAPEX estimates are compared:

Label	CAPEX	Source
C1	NTD 2.5B (25)	20 + 5
C2	NTD 5.0B (50)	(earliest public announcement)
C3	NTD 6.4B (64)	1999 (EIA feasibility report)
C4	NTD 9.7B (97)	2025 (investor conference, most recent)

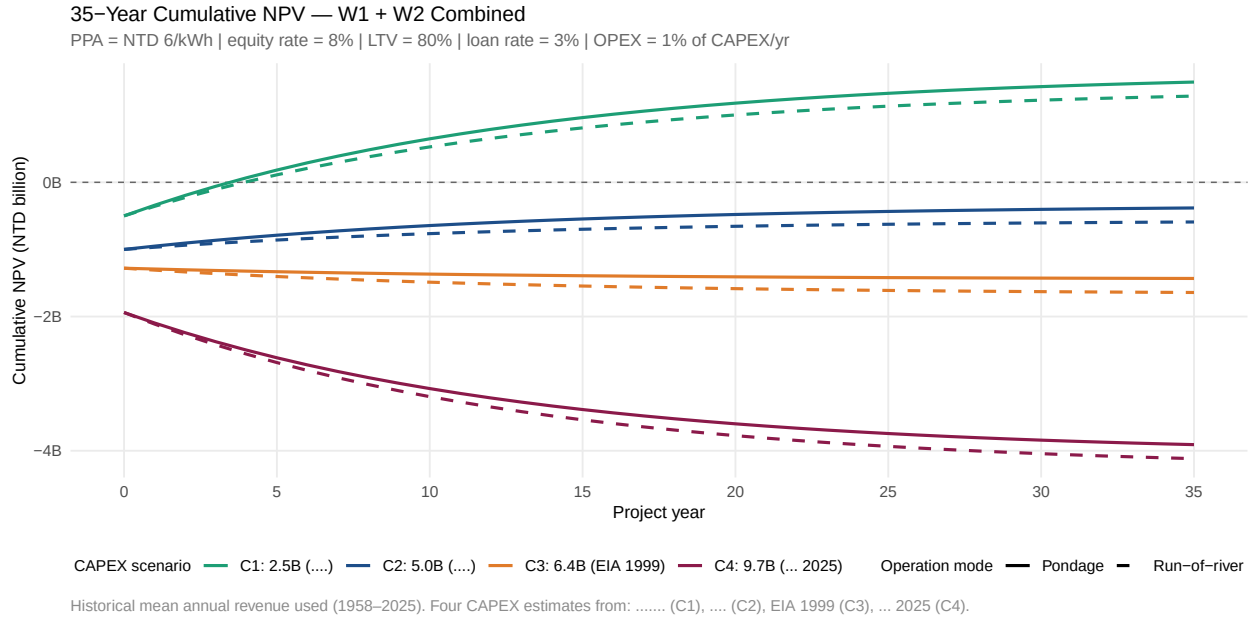


Figure 5: 35-year cumulative NPV trajectory (historical mean revenue, loan rate = 3%). Solid lines = pondage; dashed = run-of-river. Four CAPEX scenarios from four public sources. Revenue at PPA rate (NTD 6.0/kWh); equity discount rate 8%; LTV 80%. Horizontal dashed line = NPV breakeven.

Table 5: Cumulative discounted NPV (NTD billion) at milestone years for four CAPEX scenarios and two operation modes. Loan rate = 3%; equity discount rate = 8%; LTV = 80%; PPA = NTD 6.0/kWh. Positive = project has recovered equity investment on a discounted basis.

CAPEX	Run-of-river Yr5	Run-of-river Yr10	Run-of-river Yr20	Run-of-river Yr35	Pondage Yr5	Pondage Yr10	Pondage Yr20	Pondage Yr35
C1: 2.5B ()	0.11	0.53	1.00	1.29	0.18	0.65	1.18	1.49
C2: 5.0B ()	-0.86	-0.76	-0.66	-0.59	-0.79	-0.64	-0.48	-0.38
C3: 6.4B (EIA 1999)	-1.40	-1.49	-1.58	-1.64	-1.33	-1.37	-1.41	-1.43
C4: 9.7B (2025)	-2.69	-3.19	-3.77	-4.12	-2.61	-3.07	-3.60	-3.91

7 Climate Bootstrap — Hydrological Variability Ensemble

7.1 Bootstrap Design

Two-layer bootstrap (Section 3 of `hydro_climate.R`):

1. **Layer 1 — Whole-year block bootstrap:** draw complete calendar years with replacement from the observed record (1958–2025), preserving within-year seasonal structure and typhoon event integrity.
2. **Layer 2 — CV scaling:** rescale daily flows around the annual mean to a target within-year CV level:

$$Q_{\text{scaled}}(t) = \mu_{yr} + (Q_{\text{boot}}(t) - \mu_{yr}) \times \lambda, \quad \lambda = \frac{CV_{\text{target}}}{CV_{\text{boot}}}$$

This preserves μ_{yr} exactly while enabling CV values beyond the historical range, consistent with SSP2-4.5 and SSP5-8.5 projections for eastern Taiwan (Shiau & Huang 2014; Tung et al. 2016; IPCC AR6 Ch. 11).

7.2 CV Scaling Validation

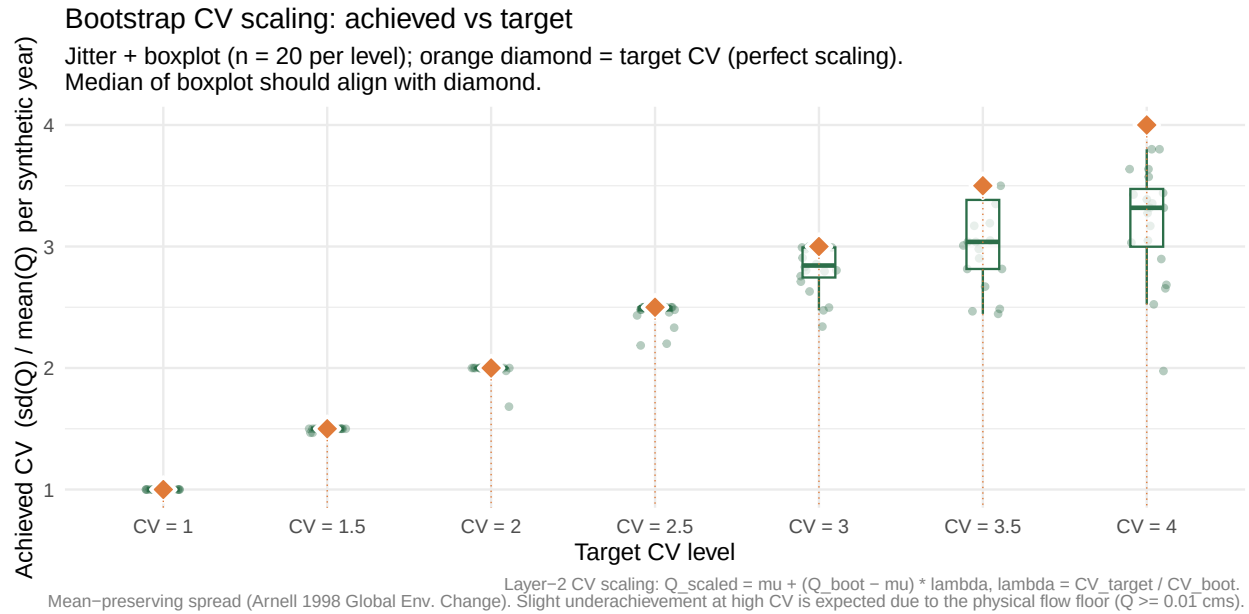


Figure 6: Validation of Layer-2 CV scaling. Violin plots show the distribution of achieved CV across 200 bootstrap replicates for each target CV level. Diamonds mark the target. The median should lie close to each target; slight underestimation at high CV levels is expected due to the physical flow floor constraint.

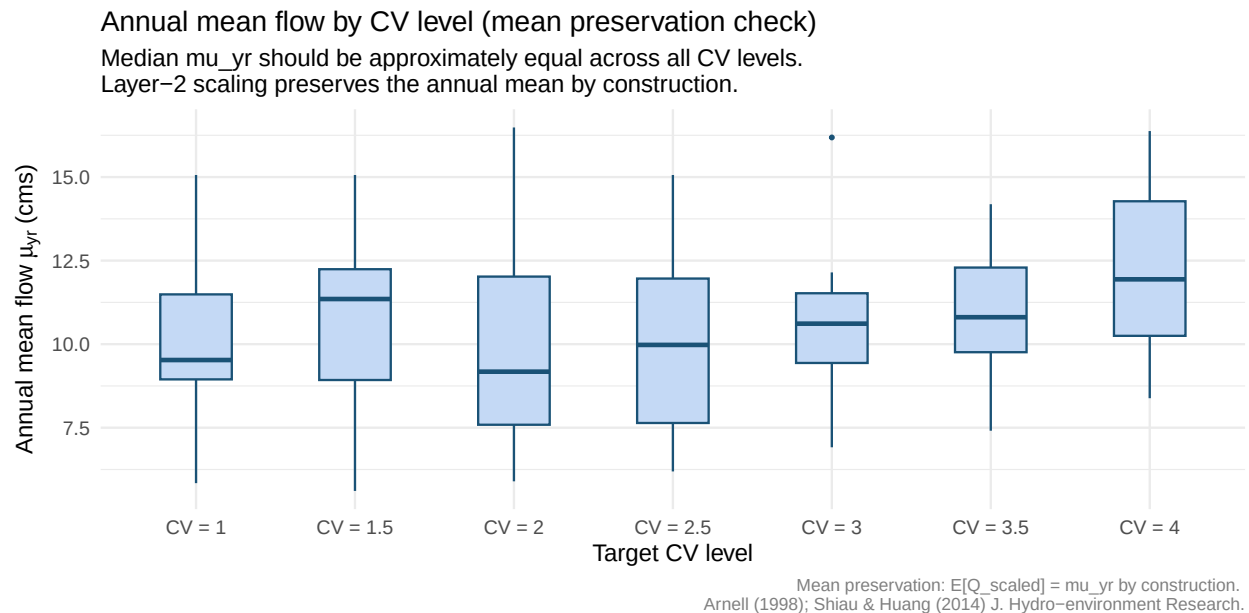


Figure 7: Mean-preservation check: annual mean flow (μ_{yr}) should be approximately constant across CV levels, confirming that Layer 2 does not alter the mean — only the variability.

7.3 Historical CV Trend

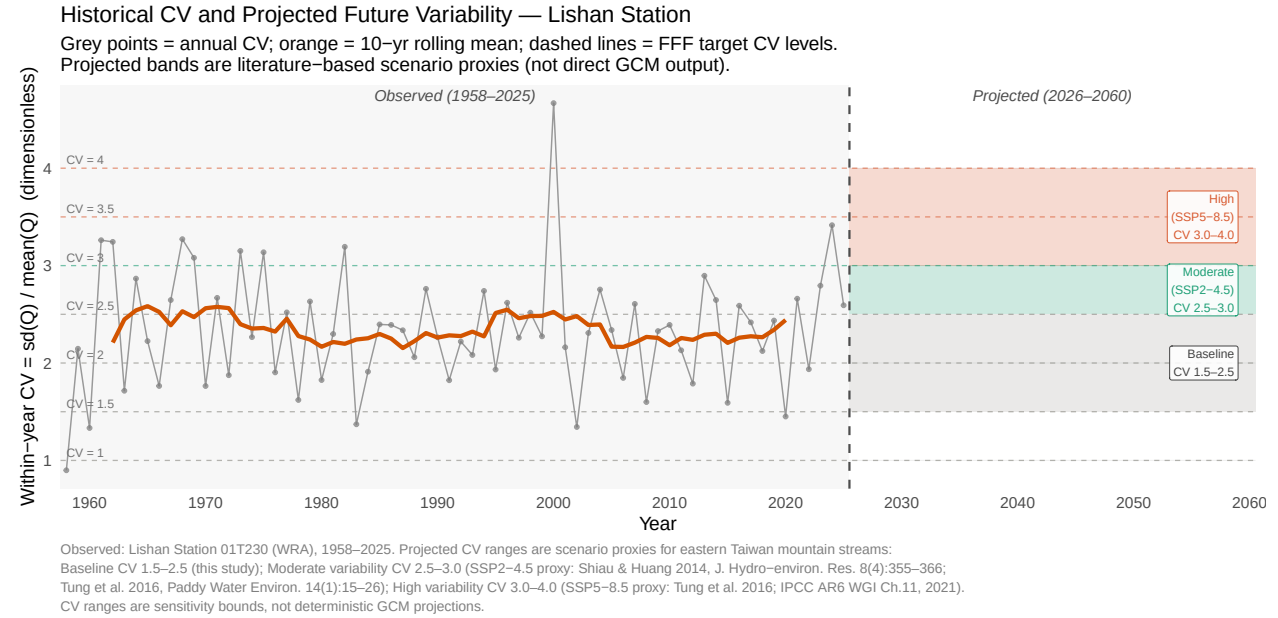


Figure 8: Historical within-year CV (1958–2025) and projected future variability scenario bands (2026–2060). Left zone: observed annual CV (grey points) with 10-year rolling mean (orange). Right zone: literature-based scenario proxies — Baseline (CV 1.5–2.5), Moderate/SSP2–4.5 (CV 2.5–3.0), High/SSP5–8.5 (CV 3.0–4.0). Vertical dashed line separates observed history from projected window. Sources: Shiau & Huang (2014); Tung et al. (2016); IPCC AR6 WGI Ch.11 (2021).

7.4 Bootstrap CV Distribution — Option A (target CV on X-axis)

Option A: Bootstrap CV distribution by target CV level

Points = individual bootstrap years; diamond = target (1:1 line).
Colour intensity = scenario variability level.

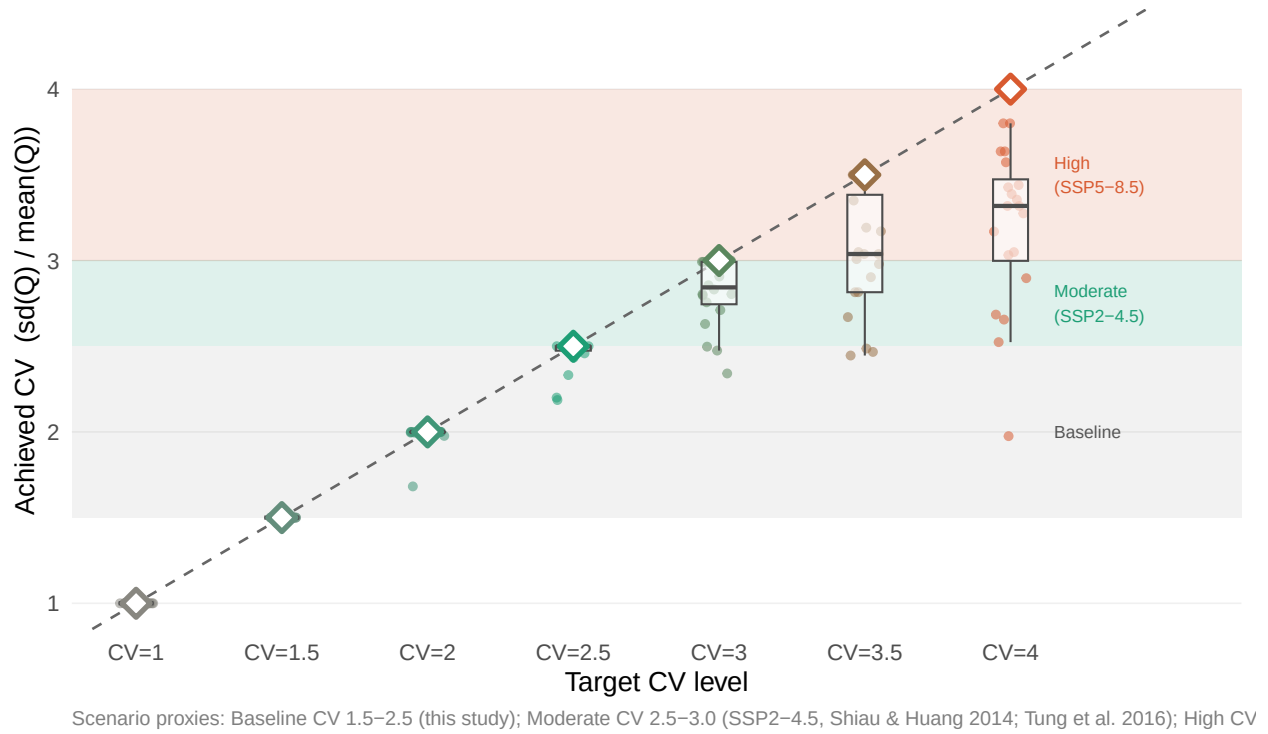


Figure 9: Option A: Bootstrap CV scaling validation. X-axis = target CV level; Y-axis = achieved CV per synthetic year. Each point is one bootstrap replicate. Diamond = perfect 1:1 target. Background bands show scenario zones. Median should align with diamond.

7.5 Bootstrap CV Distribution — Option B (all simulations coloured by level)

Option B: Bootstrap ensemble
all simulations by scenario

Each point = one bootstrap year; horizontal line = median per CV level.
Colour = target CV level (scenario intensity).

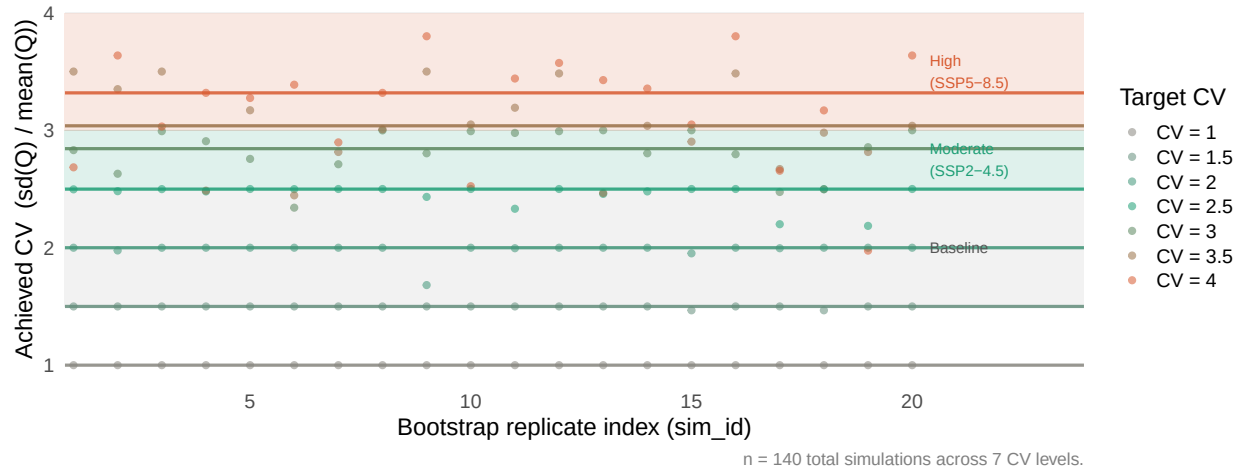


Figure 10: Option B: Full bootstrap ensemble. Each point is one synthetic year, coloured by target CV level. Horizontal lines show median per CV level. Background bands show scenario zones.

7.6 Combined: Historical + Bootstrap Option A

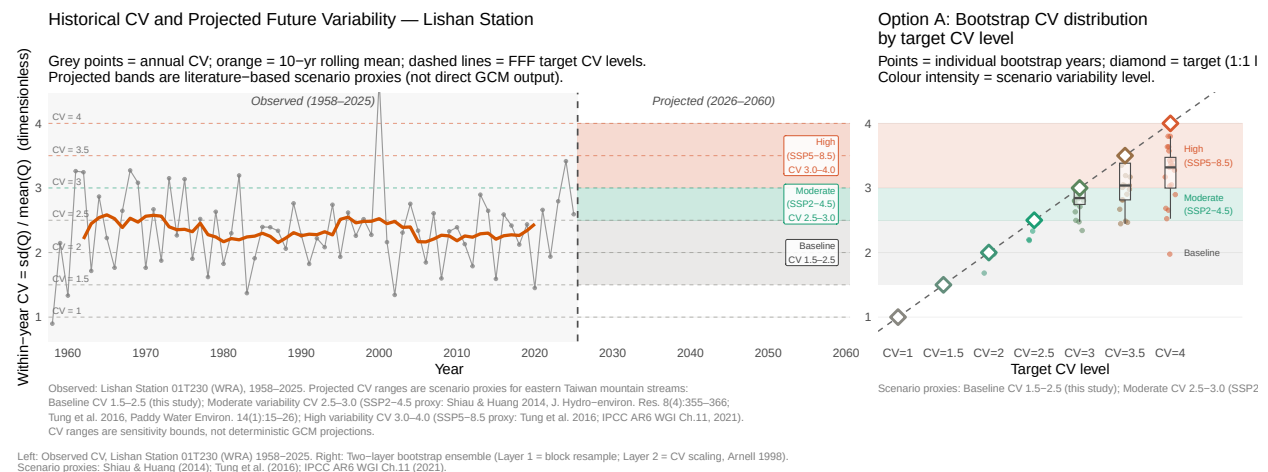


Figure 11: Combined view: historical CV trend (left) and bootstrap CV distribution by target level (right, Option A). Y-axes are aligned so CV values can be read across both panels.

7.7 Combined: Historical + Bootstrap Option B

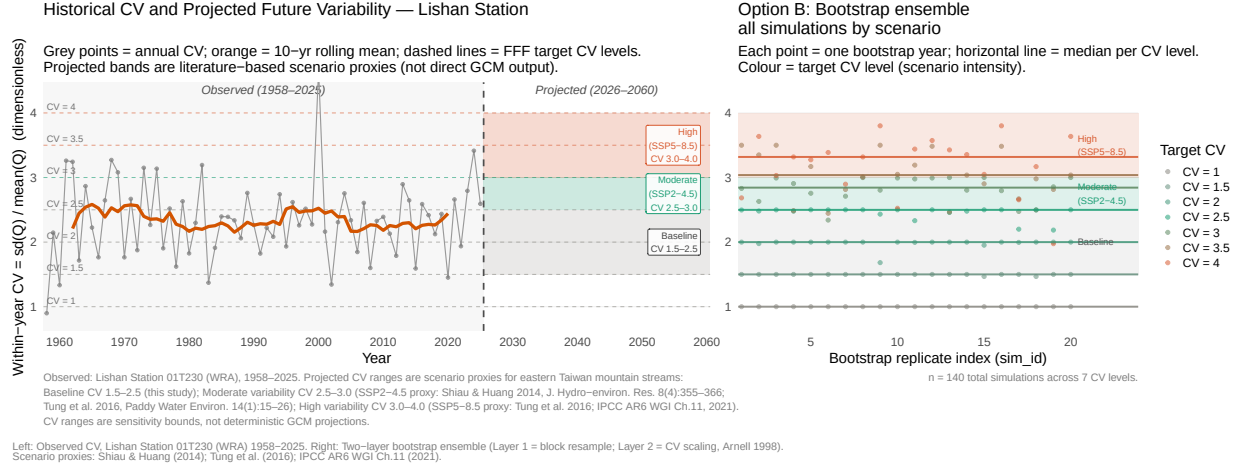


Figure 12: Combined view: historical CV trend (left) and full bootstrap ensemble coloured by target CV level (right, Option B).

8 Financial Feasibility Frontier (FFF)

8.1 Computation

For each of the 140 synthetic years in the bootstrap grid, both operation modes are simulated using `run_fff_grid()`, which calls `run_reservoir_simulation()` (run-of-river) and `run_reservoir_simulation_forward24()` (pondage) on the full synthetic daily flow series. Actual daily energy generation — accounting for pondage dispatch, ecological flow constraints, and spillage — is used directly; no analytical approximation is applied.

NPV is computed for each loan interest rate $r_\ell \in [0\%, 10\%]$ and both operation modes, separately for all four CAPEX estimates.

Table 6: Median NPV (NTD B) and $P(\text{NPV} > 0)$ for pondage mode at loan rate = 3%, across four CAPEX estimates and all CV levels. Format: median NPV (viability %).

CAPEX	CV =		CV =		CV =		CV = 4
	CV = 1	1.5	CV = 2	2.5	CV = 3	3.5	
C1: 2.5B ()	1.7 B / 85%	2.0 B / 95%	1.6 B / 90%	1.5 B / 90%	1.8 B / 95%	1.8 B / 100%	2.1 B / 100%
C2: 5.0B ()	-0.2 B / 40%	0.2 B / 70%	-0.3 B / 35%	-0.4 B / 45%	-0.1 B / 45%	-0.1 B / 50%	0.2 B / 55%
C3: 6.4B (EIA 1999)	-1.2 B / 15%	-0.9 B / 15%	-1.4 B / 10%	-1.4 B / 0%	-1.2 B / 5%	-1.1 B / 0%	-0.8 B / 15%

CAPEX	CV = 1	CV = 1.5	CV = 2	CV = 2.5	CV = 3	CV = 3.5	CV = 4
C4: 9.7B (2025)	-3.7 B / 0%	-3.4 B / 0%	-3.8 B / 0%	-3.9 B / 0%	-3.6 B / 0%	-3.6 B / 0%	-3.3 B / 0%

8.2 Cross-CAPEX Overview Table

See the `fff-overview-table` above for a unified summary across all four CAPEX estimates at $r_\ell = 3\%$. Individual per-CAPEX tables (at all loan rates) follow each FFF heatmap below.

8.3 C1 — CAPEX NTD 2.5B ()

Table 7: C1 (CAPEX = NTD 2.5B, pondage mode): E[NPV] (NTD B) and P(NPV > 0) at each CV level and loan rate. Format: E[NPV] B / P(viable %).

CV level	0%	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1.0	2.1 / 95%	2.0 / 95%	1.9 / 85%	1.7 / 85%	1.5 / 85%	1.4 / 85%	1.2 / 85%	1.0 / 85%	0.8 / 85%	0.6 / 50%	0.4 / 50%
1.5	2.5 / 100%	2.3 / 100%	2.2 / 100%	2.0 / 95%	1.9 / 95%	1.7 / 90%	1.5 / 85%	1.3 / 85%	1.1 / 80%	0.9 / 80%	0.7 / 80%
2.0	2.0 / 100%	1.9 / 95%	1.7 / 95%	1.6 / 90%	1.4 / 90%	1.2 / 85%	1.0 / 80%	0.9 / 65%	0.7 / 60%	0.4 / 55%	0.2 / 50%
2.5	1.9 / 100%	1.8 / 100%	1.6 / 90%	1.5 / 90%	1.3 / 80%	1.1 / 80%	1.0 / 80%	0.8 / 75%	0.6 / 75%	0.4 / 70%	0.1 / 60%
3.0	2.2 / 100%	2.1 / 100%	1.9 / 95%	1.8 / 95%	1.6 / 95%	1.4 / 95%	1.3 / 95%	1.1 / 95%	0.9 / 95%	0.7 / 95%	0.4 / 85%
3.5	2.2 / 100%	2.1 / 100%	2.0 / 100%	1.8 / 100%	1.6 / 100%	1.5 / 100%	1.3 / 100%	1.1 / 95%	0.9 / 95%	0.7 / 85%	0.5 / 80%
4.0	2.5 / 100%	2.4 / 100%	2.2 / 100%	2.1 / 100%	1.9 / 100%	1.7 / 100%	1.6 / 100%	1.4 / 100%	1.2 / 100%	1.0 / 90%	0.7 / 90%

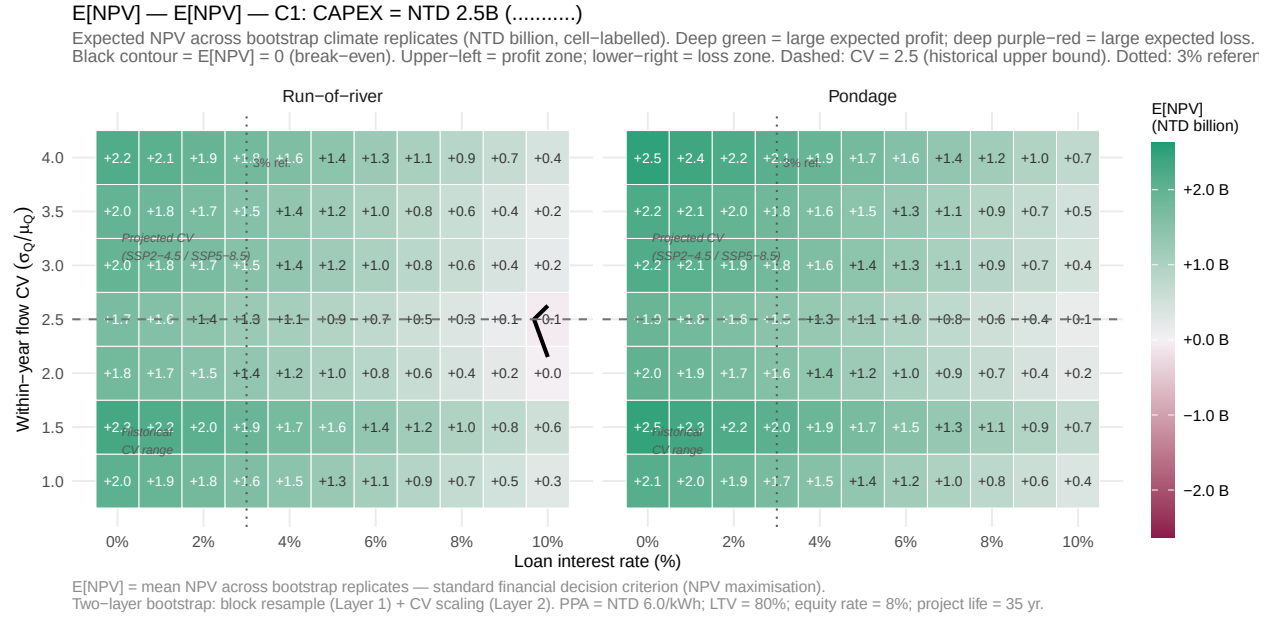


Figure 13: C1 E[NPV] — CAPEX = NTD 2.5B: Expected NPV (NTD billion) across bootstrap replicates. Cell labels show mean profit/loss in NTD B. Deep green = large expected profit; deep purple-red = large expected loss. Black contour = E[NPV] = 0 (break-even).

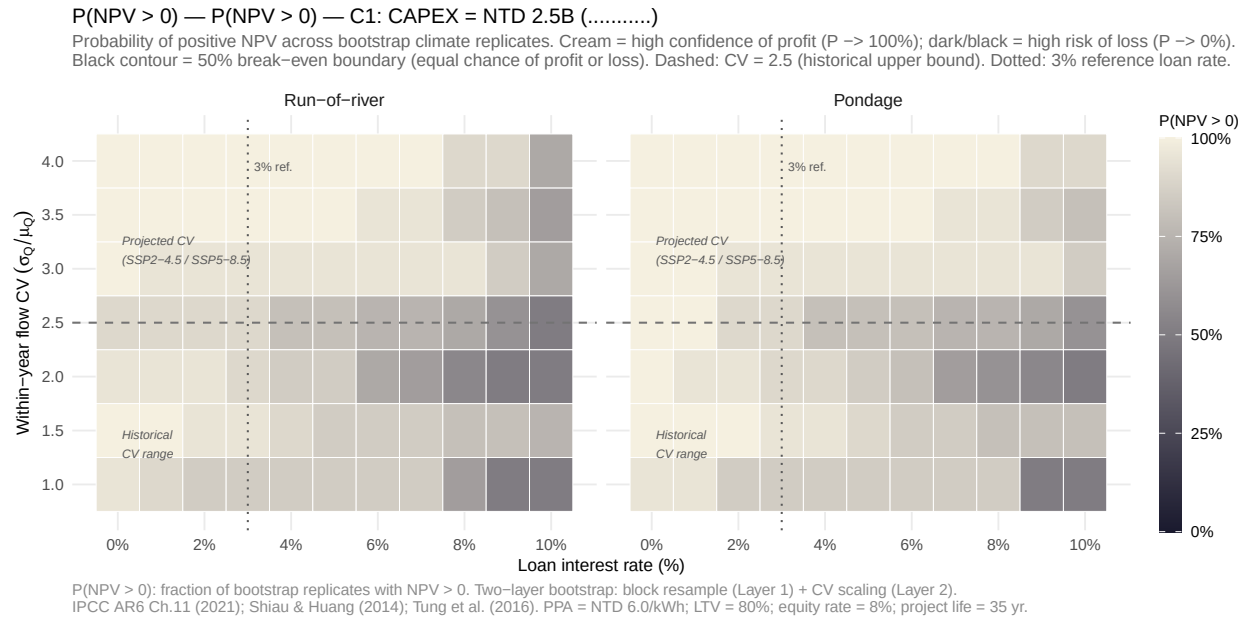


Figure 14: C1 P(NPV > 0) — CAPEX = NTD 2.5B: Probability of positive NPV across bootstrap replicates. Deep green = high confidence profitable; deep purple-red = high confidence loss. Black contour = 50% (most-likely breakeven boundary).

8.4 C2 — CAPEX NTD 5.0B ()

Table 8: C2 (CAPEX = NTD 5.0B, pondage mode): E[NPV] (NTD B) and P(NPV > 0). Format: E[NPV] B / P(viable %).

CV level	0%	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1.0	0.7 / 65%	0.4 / 50%	0.1 / 45%	-0.2 / 40%	-0.5 / 30%	-0.8 / 30%	-1.2 / 15%	-1.6 / 10%	-2.0 / 10%	-2.4 / 10%	-2.8 / 5%
1.5	1.0 / 80%	0.8 / 80%	0.5 / 75%	0.2 / 70%	-0.2 / 40%	-0.5 / 20%	-0.9 / 15%	-1.3 / 10%	-1.7 / 10%	-2.1 / 0%	-2.5 / 0%
2.0	0.5 / 55%	0.3 / 55%	-0.0 / 50%	-0.3 / 35%	-0.6 / 35%	-1.0 / 20%	-1.4 / 10%	-1.7 / 10%	-2.1 / 10%	-2.6 / 10%	-3.0 / 0%
2.5	0.4 / 70%	0.2 / 60%	-0.1 / 55%	-0.4 / 45%	-0.7 / 30%	-1.1 / 10%	-1.4 / 0%	-1.8 / 0%	-2.2 / 0%	-2.6 / 0%	-3.1 / 0%
3.0	0.7 / 95%	0.5 / 90%	0.2 / 70%	-0.1 / 45%	-0.4 / 15%	-0.8 / 10%	-1.1 / 5%	-1.5 / 0%	-1.9 / 0%	-2.3 / 0%	-2.8 / 0%
3.5	0.8 / 85%	0.5 / 80%	0.2 / 60%	-0.1 / 50%	-0.4 / 35%	-0.7 / 5%	-1.1 / 0%	-1.5 / 0%	-1.9 / 0%	-2.3 / 0%	-2.7 / 0%
4.0	1.0 / 100%	0.8 / 90%	0.5 / 70%	0.2 / 55%	-0.1 / 40%	-0.5 / 20%	-0.8 / 15%	-1.2 / 5%	-1.6 / 5%	-2.0 / 0%	-2.5 / 0%

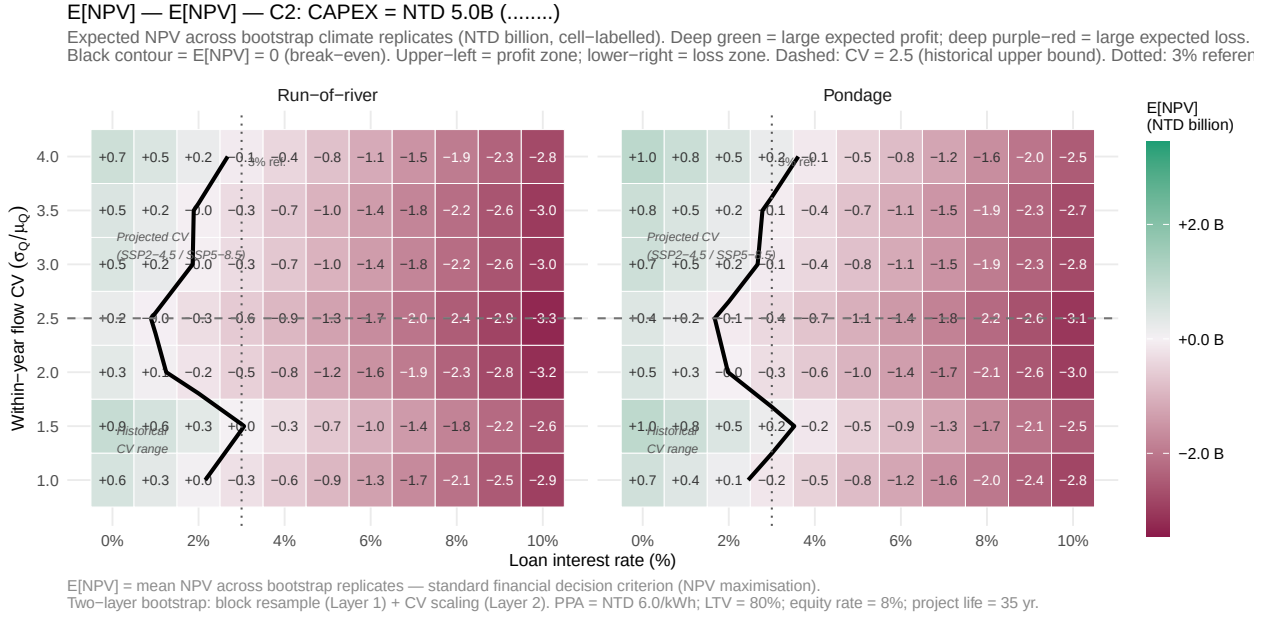


Figure 15: C2 E[NPV] — CAPEX = NTD 5.0B (). Expected profit/loss in NTD B per cell. Black contour = break-even.

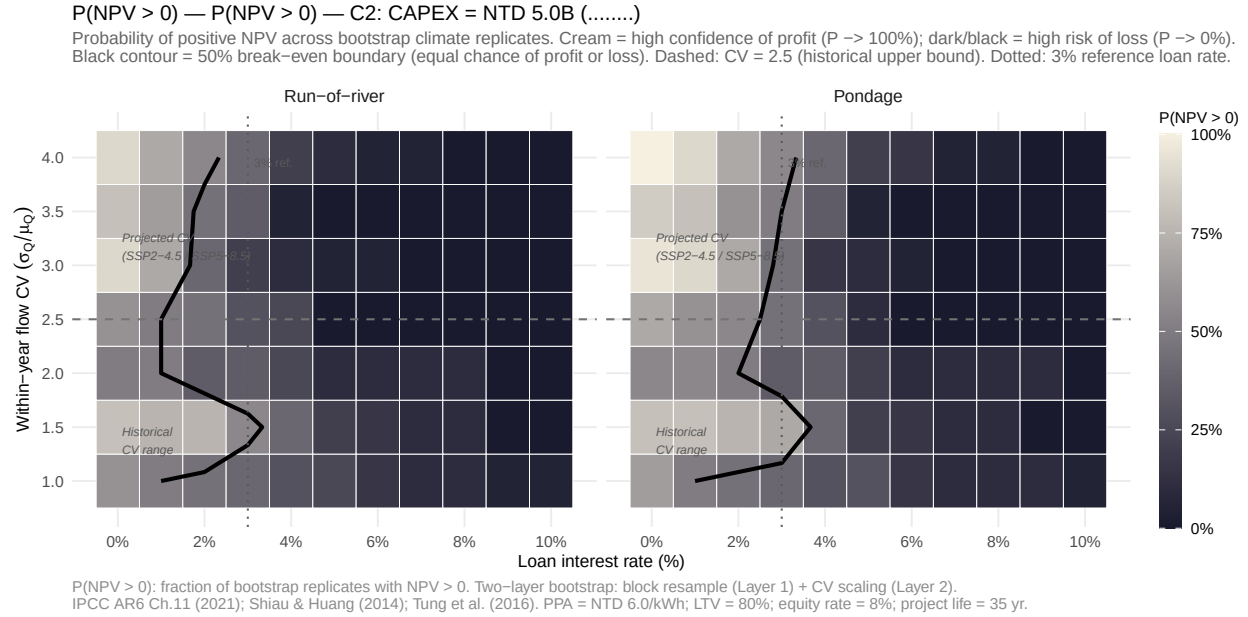


Figure 16: C2 P(NPV > 0) — CAPEX = NTD 5.0B. Probability of financial viability. Black contour = 50% boundary.

8.5 C3 — CAPEX NTD 6.4B (1999 EIA)

Table 9: C3 (CAPEX = NTD 6.4B, pondage mode): E[NPV] (NTD B) and P(NPV > 0). Format: E[NPV] B / P(viable %).

CV level	0%	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1.0	-0.1 / 40%	-0.5 / 30%	-0.8 / 30%	-1.2 / 15%	-1.6 / 10%	-2.1 / 10%	-2.6 / 5%	-3.0 / 5%	-3.6 / 0%	-4.1 / 0%	-4.6 / 0%
1.5	0.2 / 70%	-0.1 / 55%	-0.5 / 25%	-0.9 / 15%	-1.3 / 10%	-1.7 / 10%	-2.2 / 0%	-2.7 / 0%	-3.2 / 0%	-3.7 / 0%	-4.3 / 0%
2.0	-0.3 / 35%	-0.6 / 35%	-1.0 / 20%	-1.4 / 10%	-1.8 / 10%	-2.2 / 10%	-2.7 / 10%	-3.2 / 0%	-3.7 / 0%	-4.2 / 0%	-4.8 / 0%
2.5	-0.4 / 45%	-0.7 / 30%	-1.1 / 10%	-1.4 / 0%	-1.9 / 0%	-2.3 / 0%	-2.8 / 0%	-3.3 / 0%	-3.8 / 0%	-4.3 / 0%	-4.9 / 0%
3.0	-0.1 / 45%	-0.4 / 20%	-0.8 / 10%	-1.2 / 5%	-1.6 / 0%	-2.0 / 0%	-2.5 / 0%	-3.0 / 0%	-3.5 / 0%	-4.0 / 0%	-4.6 / 0%
3.5	-0.0 / 50%	-0.4 / 35%	-0.7 / 5%	-1.1 / 0%	-1.5 / 0%	-2.0 / 0%	-2.5 / 0%	-2.9 / 0%	-3.5 / 0%	-4.0 / 0%	-4.5 / 0%
4.0	0.2 / 55%	-0.1 / 40%	-0.5 / 20%	-0.8 / 15%	-1.3 / 5%	-1.7 / 5%	-2.2 / 0%	-2.7 / 0%	-3.2 / 0%	-3.7 / 0%	-4.3 / 0%

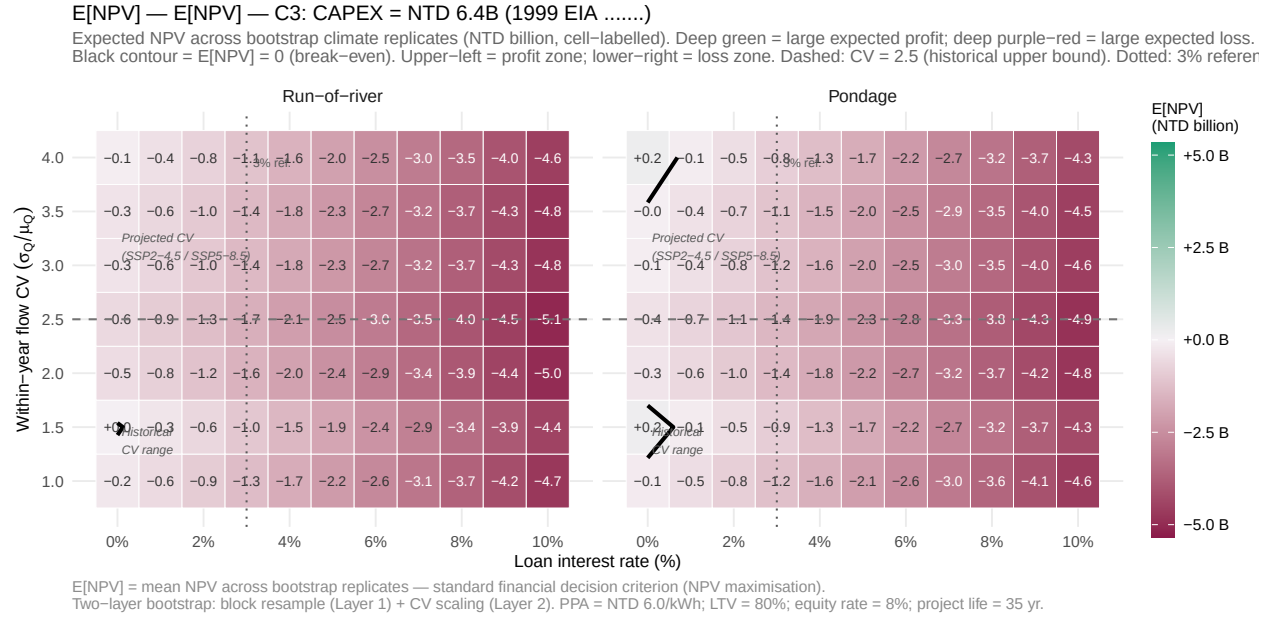


Figure 17: C3 E[NPV] — CAPEX = NTD 6.4B (1999 EIA). Expected profit/loss in NTD B.
 Note: 1999 figure not adjusted for inflation.

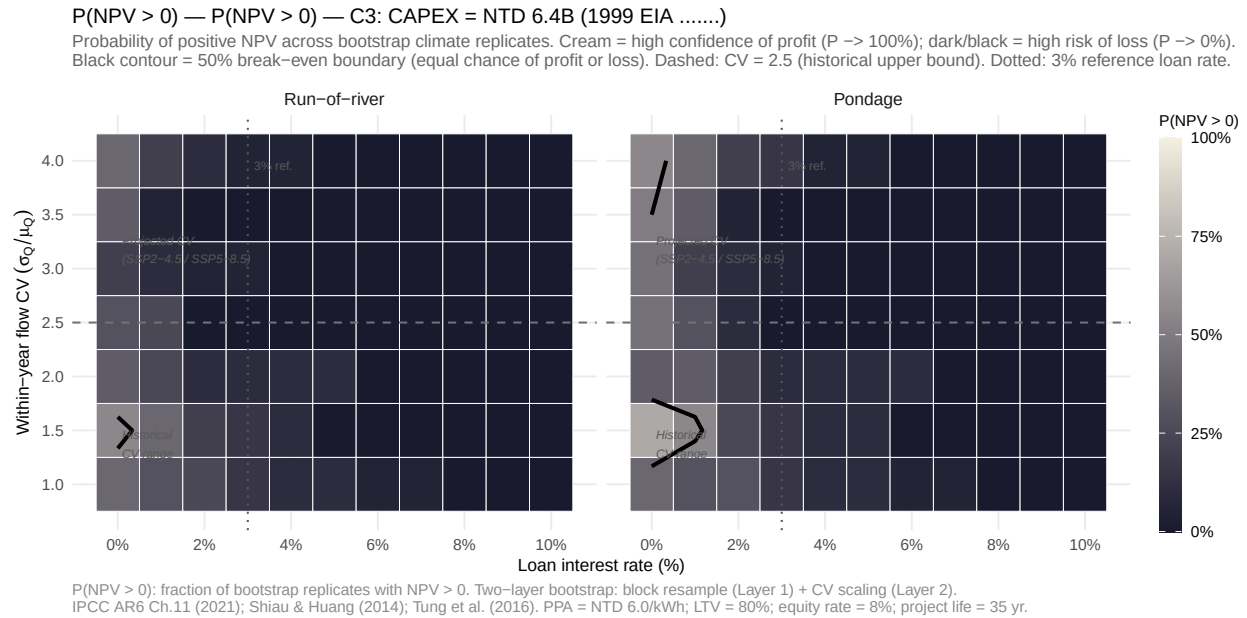


Figure 18: C3 P(NPV > 0) — CAPEX = NTD 6.4B. Probability of financial viability across bootstrap climate ensemble.

8.6 C4 — CAPEX NTD 9.7B (2025)

Table 10: C4 (CAPEX = NTD 9.7B, pondage mode): E[NPV] (NTD B) and P(NPV > 0). Format: E[NPV] B / P(viable %).

CV level	0%	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1.0	-2.1 / 10%	-2.6 / 5%	-3.1 / 5%	-3.7 / 0%	-4.3 / 0%	-5.0 / 0%	-5.7 / 0%	-6.5 / 0%	-7.2 / 0%	-8.0 / 0%	-8.9 / 0%
1.5	-1.7 / 10%	-2.2 / 0%	-2.8 / 0%	-3.4 / 0%	-4.0 / 0%	-4.7 / 0%	-5.4 / 0%	-6.1 / 0%	-6.9 / 0%	-7.7 / 0%	-8.5 / 0%
2.0	-2.2 / 10%	-2.7 / 10%	-3.2 / 0%	-3.8 / 0%	-4.5 / 0%	-5.2 / 0%	-5.9 / 0%	-6.6 / 0%	-7.4 / 0%	-8.2 / 0%	-9.0 / 0%
2.5	-2.3 / 0%	-2.8 / 0%	-3.3 / 0%	-3.9 / 0%	-4.6 / 0%	-5.2 / 0%	-6.0 / 0%	-6.7 / 0%	-7.5 / 0%	-8.3 / 0%	-9.1 / 0%
3.0	-2.0 / 0%	-2.5 / 0%	-3.0 / 0%	-3.6 / 0%	-4.3 / 0%	-4.9 / 0%	-5.7 / 0%	-6.4 / 0%	-7.2 / 0%	-8.0 / 0%	-8.8 / 0%
3.5	-2.0 / 0%	-2.5 / 0%	-3.0 / 0%	-3.6 / 0%	-4.2 / 0%	-4.9 / 0%	-5.6 / 0%	-6.4 / 0%	-7.1 / 0%	-7.9 / 0%	-8.8 / 0%
4.0	-1.7 / 5%	-2.2 / 0%	-2.7 / 0%	-3.3 / 0%	-4.0 / 0%	-4.6 / 0%	-5.4 / 0%	-6.1 / 0%	-6.9 / 0%	-7.7 / 0%	-8.5 / 0%

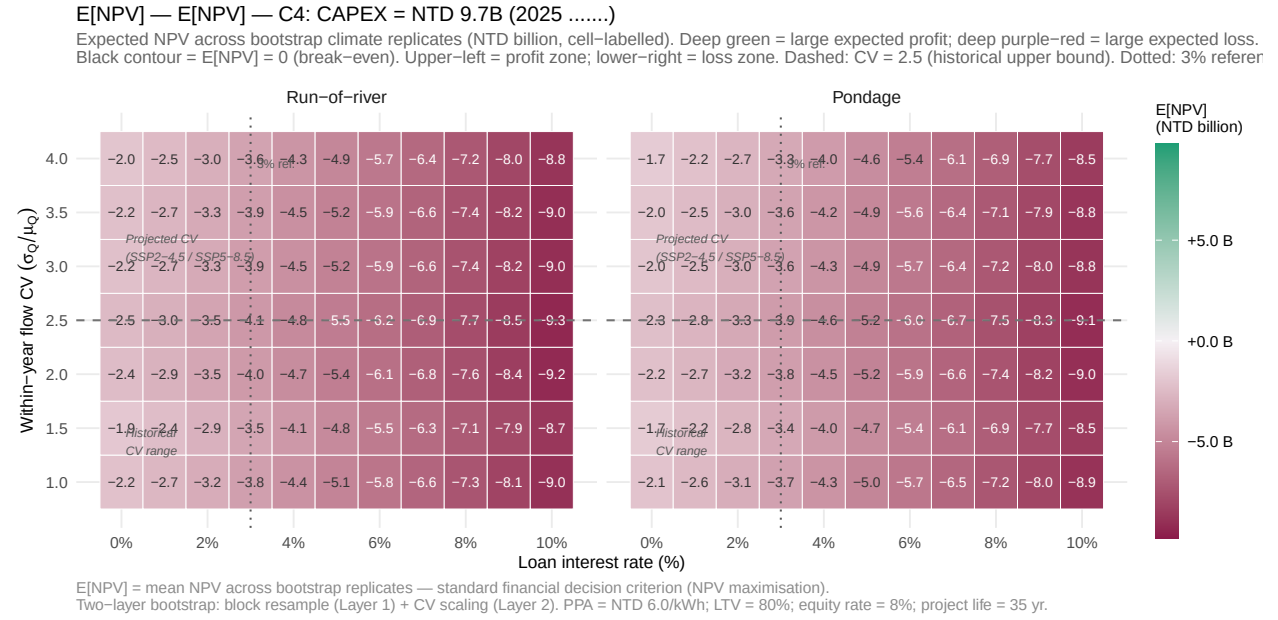
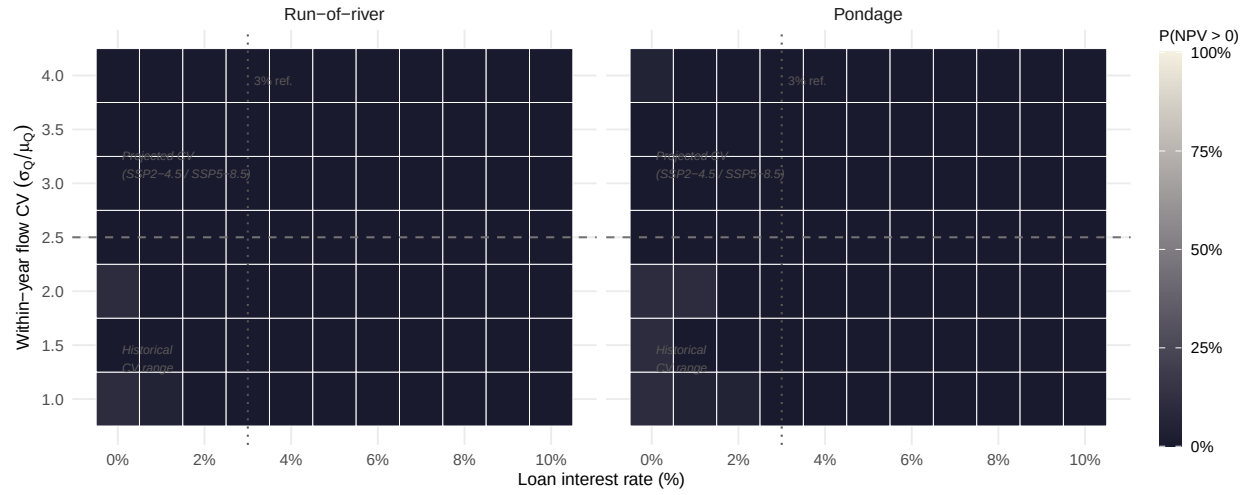


Figure 19: C4 E[NPV] — CAPEX = NTD 9.7B (2025). At this cost level most cells show negative E[NPV]; viable corridor confined to very low loan rates under historical CV.

P(NPV > 0) — P(NPV > 0) — C4: CAPEX = NTD 9.7B (2025)

Probability of positive NPV across bootstrap climate replicates. Cream = high confidence of profit (P → 100%); dark/black = high risk of loss (P → 0%). Black contour = 50% break-even boundary (equal chance of profit or loss). Dashed: CV = 2.5 (historical upper bound). Dotted: 3% reference loan rate.



P(NPV > 0): fraction of bootstrap replicates with NPV > 0. Two-layer bootstrap: block resample (Layer 1) + CV scaling (Layer 2). IPCC AR6 Ch.11 (2021); Shiau & Huang (2014); Tung et al. (2016). PPA = NTD 6.0/kWh; LTV = 80%; equity rate = 8%; project life = 35 yr.

Figure 20: C4 P(NPV > 0) — CAPEX = NTD 9.7B. Probability of positive NPV. Viable region is narrow even under pondage mode.

8.7 Summary — E[NPV] across all CAPEX estimates (Pondage mode)

E[NPV] Summary — Pondage Mode, Four CAPEX Estimates

Pondage mode. Cell value = E[NPV] (NTD B, mean across bootstrap replicates). Deep green = large expected profit; deep purple-red = large expected loss. Black contour = break-even (E[NPV] = 0). Upper-left = profit zone; lower-right = loss zone. Dashed: CV = 2.5 (historical upper bound). Dotted: 3% reference loan rate. C1: NTD 2.5B (contract disclosure) C2: NTD 5.0B (initial announcement) C3: NTD 6.4B (EIA 1999) C4: NTD 9.7B (investor conference 2025)

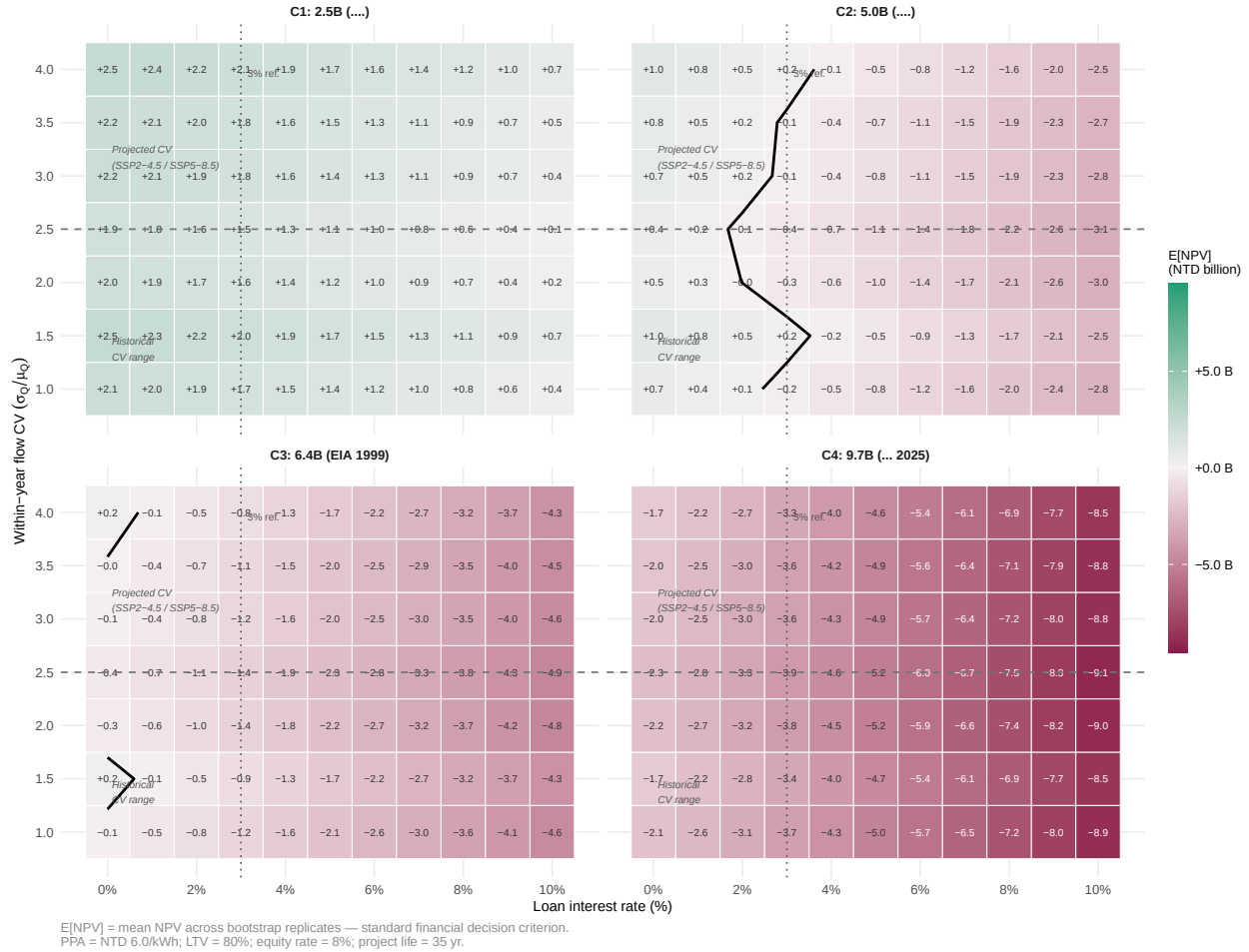


Figure 21: Summary: E[NPV] (NTD billion) for pondage mode across all four CAPEX estimates. Each panel = one cost scenario. Cell labels show expected profit (+) or loss (-) in NTD B. Black contour = break-even. Reading across panels shows how CAPEX is the dominant uncertainty: C1 (25) is widely profitable, C4 (97) is largely unprofitable under the same revenue assumptions.

8.8 Pondage Advantage — Difference in $P(\text{NPV} > 0)$

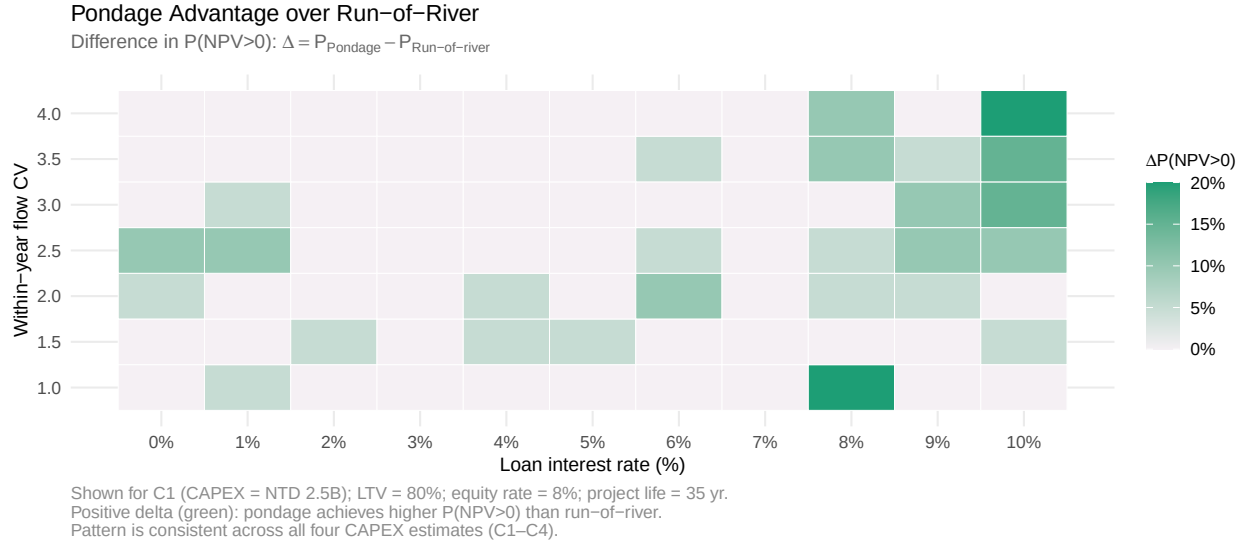


Figure 22: Difference in $P(\text{NPV} > 0)$ between pondage and run-of-river operation. Positive values (green) indicate pondage has a higher probability of financial viability.

9 Summary and Policy Implications

Table 11: Summary of key results by CAPEX scenario. Viability defined as $P(\text{NPV} > 0) \geq 0.50$ (Pondage mode, $r_{\text{loan}} = 3\%$). Revenue at PPA rate (NTD 6.0/kWh).

CAPEX	CV level	$P(\text{NPV} > 0)$	$E[\text{NPV}]$ (NTD B)	Median GWh/yr	Vi-able?
C1: 2.5B (Stock Exchange Disclosure of Civil and Engineering Cost)	CV = 1	0.85	1.71	45.2	Yes
C1: 2.5B (Stock Exchange Disclosure of Civil and Engineering Cost)	CV = 1.5	0.95	2.05	58.0	Yes
C1: 2.5B (Stock Exchange Disclosure of Civil and Engineering Cost)	CV = 2	0.90	1.57	47.4	Yes
C1: 2.5B (Stock Exchange Disclosure of Civil and Engineering Cost)	CV = 2.5	0.90	1.48	49.9	Yes
C1: 2.5B (Stock Exchange Disclosure of Civil and Engineering Cost)	CV = 3	0.95	1.78	51.4	Yes
C1: 2.5B (Stock Exchange Disclosure of Civil and Engineering Cost)	CV = 3.5	1.00	1.81	52.5	Yes
C1: 2.5B (Stock Exchange Disclosure of Civil and Engineering Cost)	CV = 4	1.00	2.08	55.3	Yes

CAPEX	CV level	P(NPV>0)	E[NPV] (NTD B)	Median GWh/yr	Vi- able?
C2: 5.0B (Original 1999)	CV = 1	0.40	-0.17	45.2	No
C2: 5.0B (Original 1999)	CV = 1.5	0.70	0.17	58.0	Yes
C2: 5.0B (Original 1999)	CV = 2	0.35	-0.31	47.4	No
C2: 5.0B (Original 1999)	CV = 2.5	0.45	-0.40	49.9	No
C2: 5.0B (Original 1999)	CV = 3	0.45	-0.10	51.4	No
C2: 5.0B (Original 1999)	CV = 3.5	0.50	-0.07	52.5	Yes
C2: 5.0B (Original 1999)	CV = 4	0.55	0.20	55.3	Yes
C3: 6.4B (Updated EIA 2020)	CV = 1	0.15	-1.22	45.2	No
C3: 6.4B (Updated EIA 2020)	CV = 1.5	0.15	-0.88	58.0	No
C3: 6.4B (Updated EIA 2020)	CV = 2	0.10	-1.36	47.4	No
C3: 6.4B (Updated EIA 2020)	CV = 2.5	0.00	-1.45	49.9	No
C3: 6.4B (Updated EIA 2020)	CV = 3	0.05	-1.15	51.4	No
C3: 6.4B (Updated EIA 2020)	CV = 3.5	0.00	-1.12	52.5	No
C3: 6.4B (Updated EIA 2020)	CV = 4	0.15	-0.85	55.3	No
C4: 9.7B (Investor Relation Meeting 2025)	CV = 1	0.00	-3.69	45.2	No
C4: 9.7B (Investor Relation Meeting 2025)	CV = 1.5	0.00	-3.36	58.0	No
C4: 9.7B (Investor Relation Meeting 2025)	CV = 2	0.00	-3.84	47.4	No
C4: 9.7B (Investor Relation Meeting 2025)	CV = 2.5	0.00	-3.92	49.9	No
C4: 9.7B (Investor Relation Meeting 2025)	CV = 3	0.00	-3.63	51.4	No
C4: 9.7B (Investor Relation Meeting 2025)	CV = 3.5	0.00	-3.59	52.5	No
C4: 9.7B (Investor Relation Meeting 2025)	CV = 4	0.00	-3.33	55.3	No

The Financial Feasibility Frontier reveals that:

1. **Pondage consistently outperforms run-of-river** across all CV levels, loan rates, and CAPEX estimates, confirming that even the small pondage capacity of W1 and W2 provides measurable financial value through improved dispatch flexibility.
2. **CAPEX is the dominant uncertainty driver** — spanning a $4\times$ range (2.5B to 9.7B) across public sources. Under C1 (NTD 2.5B, engineering disclosure), both modes are widely viable at historical CV. Under C4 (NTD 9.7B, 2025), viability requires loan rates 2–3% under historical CV, and is essentially infeasible at elevated CV — confirming that cost verification is the critical prerequisite before project financing.
3. **Higher hydrological variability ($CV > 2.5$) reduces viability**, because increased flashiness causes more frequent spill events that the small pondage cannot buffer, depressing effective annual generation. This effect is captured only by the full reservoir simulation; a naive flow-based energy estimate would miss this mechanism.
4. **Under SSP5-8.5 projections ($CV = 3.0\text{--}4.0$)**, even under C1 (lowest CAPEX), pondage viability requires loan rates below 5–6%, suggesting that climate change imposes a meaningful financing-cost premium on flash-flood dominated catchments in Taiwan.